

The stock fell on capex, rural, and a dead add engine — ops and marketing cannot act without a quarterly loss tracker by category

Draft work-plan, not a recommendation · Anchor: end Q1 2026 · Parent frames: Root B (firm underperformance vs Comcast on Internet) · Root C (the tape prices the Internet print)

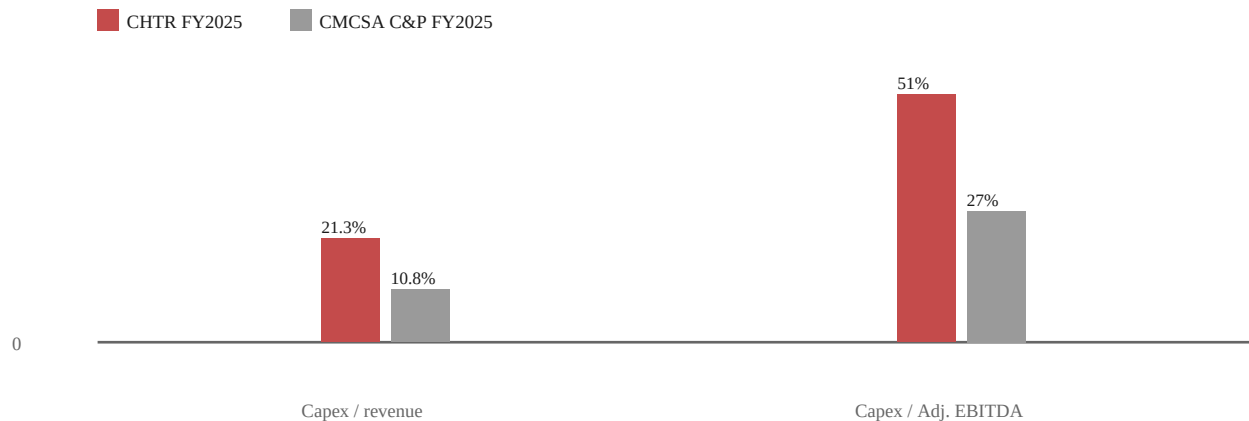
Three priced facts: capital is not buying Internet growth; the rural program cannot close the hole and is expensive to leave; the old add engine (people moving, video as lock-in) is gone. Those causes stay un-actionable because Charter has no standing **system that tracks quarterly net Internet loss by category**. They see a company-level net print (–120k Q1) and cannot see (a) the churn rate (gross disconnects / base vs failed acquisition) or (b) the *division of where* they are losing. That is the first gap to close.

~80%	~25%	–120k	–1.3%	+19% / –12%
Five-year share-price loss	Q1 2026 one-day drop	Q1 Internet customers	Q1 Internet revenue	Q1 capex / FCF

Q1 Adj. EBITDA –2.2% (RETRIEVED · Ex99.1). Internet –120k ≈2× Q1’25 (RETRIEVED · Ex99.1). Stock path RETRIEVED · Team Case Brief. The company is not in financial distress. Owners sold the *direction*: spend went up, the profit engine shrank, and the programs that were supposed to offset it (rural, network evolution, video/mobile optics) did not change the Internet slope. Source: Ex99.1 / Team Case Brief · Q1 2026 anchor.

Charter spends twice Comcast’s cable-like intensity and still lost the Internet print

Poor capex is conversion, not a missing upgrade program. Charter spent **\$11.7B** in FY2025 — **21.3% of revenue, 51% of Adj. EBITDA**. Comcast’s cable-like Connectivity & Platforms segment spent **10.8% of C&P revenue** and **27% of C&P EBITDA** (RETRIEVED). Charter is a connectivity pure-play spending ~2× the peer’s intensity.



Percent. CHTR ~2× peer intensity on both ratios. Bars begin at zero. CHTR: \$11.7B FY2025. Do not compare CHTR to CMCSA consolidated (parks/media). Source: CHTR 10-K FY2025 · CMCSA trending · RETRIEVED.

Q1 2026 made the conversion failure visible in one quarter: capex **\$2.86B vs \$2.40B** (+19%); upgrade/rebuild **+71%** (\$675M vs \$395M); CPE +41%; Internet **–120k** and Internet dollars **–1.3%**; FCF **–12%**. Network-evolution completion is still **end-2027**. Invincible WiFi launched in February — one month of the print. The market is not punishing “too little plant.” It is punishing plant that does not produce Internet customers. Waiting for 2027 roll-off is the base-case capital story; it does not satisfy the CEO charge by itself.

Need to be on: capex productivity — dollars of capital per *net Internet add* (currently negative), not miles of plant or “on-time vs 2027.” Any new spend must clear a higher bar than Comcast’s cable segment. Any deferral must name what gets cut (rural pace, evolution timing, CPE).

Rural remainder is a one-time 170k stock — smaller than one quarter of the Comcast slope gap

The rural initiative is doing what it was built to do, and it still cannot close the hole. Rural CR +41k covered 20% of the Q1 core CR hole (–204k). Remainder at a generous 54% take is a **one-time stock of 170k** — smaller than one quarter of the Comcast slope gap (179k), and not repeatable. Management’s own words are “long-term infrastructure-style returns.” Estimated EBITDA yield on capital is ~3.9% (company margin applied to rural — **ESTIMATED**). That is not a 24-month Internet closer.

Customers (000s)



Rural remainder @54% take (...)

YoY Internet slope gap vs C...

Thousands of customers. Remainder = 315k leftover passings × 54% company take = 170k (derived; one-time). Slope gap 179k in one quarter (derived). At 38% rural take the remainder is 120k. Bars begin at zero. Single series accent = the comparison the closer thesis fails. Source: Ex99.1 Q1 2026 / trending · derived identities.

Line	Q1 2026	Tag
Rural CR adds	+41k	RETRIEVED · Ex99.1
Core CR adds (company – rural)	–204k	derived · identity
Rural cover of the core hole	20%	derived
Rural add vs Q1 2025	+2k	derived — explains none of the –61k Internet YoY break
Rural take of activated passings	38.1% (stuck 37–38% for 8 quarters)	RETRIEVED · trending
Company take of passings	54.0%	RETRIEVED
Rural share of company revenue	1.6% (\$221M / \$13,597M)	RETRIEVED
Cumulative spend / passings	~\$8.1B / 1.385M ≈ \$5,900 per passing	RETRIEVED spend; derived unit cost
Cost per rural CR before grants	≈ \$15,400	derived
Remainder to 1.7M floor	315k passings → 120k CR at 38% take, 170k at 54%	derived
YoY Internet slope gap vs Comcast	179k in <i>one quarter</i>	derived

Hard to get out of. Since 2022 Charter has spent **\$7.7B** and targeted **>1.7M** passings, **>\$8B** total, **>\$2B** in RDOF / BEAD / state awards (RETRIEVED). The 10-K is explicit: miss RDOF rules and the FCC can treat Charter as in default — penalties, forfeitures, withheld support. Pole-permitting and subsidy milestones sit on the same clock. Sunk plant plus a ten-year subsidy operating obligation is not a program you pause because the core is bleeding.

Need to be on: raise take on plant already lit (38% → 54% is 221k “missing” customers on 1.385M passings) *or* stop treating leftover passings as the slope closer. Do not add rural miles to fix a core-product gap. Do not assume an exit that the subsidy contracts do not allow.

The add engine assumed movers and video lock-in — both retired

Three structural shifts hit at once. They are the floor (Root A). They do **not** by themselves explain why Charter’s residential Internet net-loss rate is **1.8× Comcast’s** in Q1 (0.42% vs 0.23%; excess **54k**, rounded down). Industry weather plus a worse firm slope is the full story. Rate = [quarterly net adds] / beginning customers — **not gross churn** (not disclosed).

Market shift	What broke	Need to be on
Reduced moving	10-K: ability to gain new customers “is dependent to some extent on growth in occupied housing.” Team Case Brief: a slow housing market means fewer people moving and signing up. The industry’s cheapest gross-add event was a truck at a new address. That event shrank.	A growth model that does not assume housing-driven gross adds return.
Switching costs changed shape	FWA lowered the cost of leaving (self-install box, no truck). Winning a non-mover got more expensive — displace an incumbent, do not greet a mover. Not a contradiction: fewer inbound events, easier outbound for attackers. Same carriers attacking broadband that Charter resells as an MVNO.	Price/promo and overlap GTM vs fiber and FWA, not vs last year’s mover.

Market shift	What broke	Need to be on
Reduced need for broadband TV	Video is still large and structurally declining: FY2025 video revenue –9.4% ; Q1 –9.2% and –60k customers (losses <i>moderating</i> , not reversing — RETRIEVED · Ex99.1). Programmer-app bundling manages the decline. Cord-cutting and vMVPDs removed the glue. Internet now has to win on its own.	Internet that wins standalone. Mobile deepens the bundle for some; it is lower-margin and the market will not credit it against broadband decline.

Sources: CHTR Ex99.1 · CMCSA Ex99.1 Q1 2026 · 10-K Item 1A housing language · Team Case Brief. Excess 54k is a net-loss-rate proxy vs Comcast, not a churn rate.

Ops and marketing see –120k, not the rate or WHERE — they need a quarterly net-loss-by-category system

The three causes above are what the tape priced. They do not tell plant ops where to hold the line, or marketing which offer/segment is leaking. That is a **shared operations and/or marketing capability gap**, not a choice of which department owns the data (filings do not prove a single owner).

What they can see today. Company-level net Internet adds: **–120k** in Q1 (RETRIEVED · Ex99.1). Rural CR **+41k** is a disclosed program add, not a residential-Internet loss tracker. The existing network-churn work therefore used a **net-loss rate** vs Comcast (1.8×; excess 54k) as a company-level proxy — and stated outright that **gross churn is unused because it is not disclosed**. We will not invent a filled-in breakdown they do not have. The cells below are empty on purpose. The system is the gap.

What they cannot see. (a) The true churn rate — gross disconnects / beginning base — versus failed acquisition (gross adds collapsing). Net –120k is the residual of both. (b) The *division of where* they are losing: core vs rural; overlap vs rest of footprint; move-out vs competitive vs involuntary; tenure; product mix at leave. Call-center reason codes are not that tracker (instructor: agents have favorite codes — sample the disconnect, do not trust coded tickets). Working assumption, to confirm with the CEO rather than assert as fact: past customer data has not been tracked in a usable form.

Category the system must cut	Q1 2026 cell	Tag
Company residential Internet (only filled line)	–120k net	RETRIEVED · Ex99.1
Core vs rural	Empty — rural +41k CR is not this cut	not tracked
Overlap vs rest of footprint (AT&T ~27% / Verizon ~16% terrestrial 100 Mbps+)	Empty	~27% / ~16% = footprint mix, RETRIEVED; <i>losses in those zips</i> = not tracked
Reason: move-out vs competitive (FWA vs fiber) vs involuntary/nonpay	Empty	not tracked; not agent codes
Product mix at leave: Internet-only / +mobile / +video	Empty	not tracked
Tenure (if available)	Empty	not tracked

Empty cells are empty on purpose — we will not invent a breakdown. Unit of the system: quarterly net loss, or gross adds vs disconnects if obtainable. Run every quarter. Only filled cell: CHTR Ex99.1 Q1 2026. Overlap shares are footprint mix, not a loss split.

GAP analyses — what they are on vs what they need to be on

Four gaps. **G1 is the gate** — it blocks the other three. Dollar-weighted: G2 and G3 are where the cash sits (\$11.7B capex, \$8B+ rural). G4 is the demand regime. Effort should not migrate to refining NCTA capex tables (precise, available, low leverage) while the category tracker (high leverage, missing) stays unbuilt.

ID	Gap	On today	Need to be on
G1	Quarterly net-loss-by-category tracker — shared ops/marketing insight system	Company-level net Internet adds only (–120k Q1). No churn rate. No standing division of where they lose. Working assumption (confirm with CEO): past customer data not tracked in a usable form.	A quarterly system whose unit is net loss (prefer: gross adds vs disconnects) cut by core vs rural; overlap (AT&T ~27% / Verizon ~16%) vs rest; reason (move-out / FWA / fiber / nonpay, sampled from the disconnect); product mix at leave; tenure if available. Cells stay empty until the system exists.
G2	Capex productivity	Intensity 21¢ per revenue dollar vs Comcast C&P 11¢. Spend classified by NCTA bucket, not by Internet-add yield. Q1 spend up, Internet and FCF down.	\$ of capex per net Internet add, by bucket (evolution / rural / CPE / other). A 2027 completion date is not a productivity metric.
G3	Rural as closer	+41k CR / quarter, 38% take, 1.6% of revenue, remainder 120–170k lifetime stock vs a 179k <i>quarterly</i> peer gap. RDOF/BEAD make pause/exit costly.	Treat rural as a long-cycle infrastructure book. Close the core hole on the plant already built. Raise take on lit rural plant if that is cheaper than new miles.

ID	Gap	On today	Need to be on
G4	Market model	Strategy still talks as if more plant + simpler bundles + video apps restore connectivity growth. Housing and video are named as risks, not as a retired add engine.	Gross-add plan for a low-mobility, FWA-easy-out, video-optional customer. Price/promo and overlap GTM vs fiber and FWA, not vs last year's mover.

What would falsify “this is the gap.” G1: the tracker already exists and is used quarterly — then skip “stand up tracking” and run mix control immediately. G2: mix-adjusted core Internet losses converge with Comcast while intensity stays high — then the spend *is* buying the print, just with lag. G3: remainder + take-rate lift closes the Comcast *quarterly* slope — the arithmetic already says it cannot. G4: housing turnover and video attach recover *and* Charter's loss rate converges with Comcast without offer change.

Next step — broadband churn analysis = stand up (or pull) the tracker

Do this first. Build or pull the category breakdown they do not have, so they can see the **rate** and the **division of losses**. Every later recommendation (cut rural, retarget capex, reprice vs FWA, change the overlap offer) needs to know whether Q1 was *failed acquisition* (housing / fewer movers), *failed retention* (competitive disconnects on the core), or both — and *where*. Company net adds cannot tell them apart.

Why this is the gap

- Charter discloses **net** Internet adds. Gross adds and gross disconnects are not in the 10-K, 10-Q, or earnings release. There is no public churn *rate*.
- Field + customer-ops opex **fell \$30M** YoY in Q1 while Internet losses doubled. That is evidence against a company-wide network-failure churn wave. It is **not** a substitute for a category tracker.
- Rural **+41k** is already inside the company –**163k** CR print. Without a standing core-vs-rural *Internet* cut, rural mix will keep looking like “the company almost held” when the core lost **204k** CR. That identity is a one-off reconstruction, not a quarterly system.
- Working assumption, to confirm with the client: **past customer data has not been tracked** in a form that supports this split. If that is wrong, the step collapses to turning the existing feed into the tracker, not building one from scratch.

Output the system must produce each quarter	Why it decides something
Gross adds vs gross disconnects, 8 quarters, residential Internet — or net loss if gross is unavailable	Separates housing-add drought from retention failure; produces a rate, not only a net print
Disconnect mix: move-out / competitive (FWA vs fiber) / involuntary	Tells GTM vs credit vs housing
Core vs rural vs AT&T-overlap (~27%) vs Verizon-overlap (~16%) vs rest of footprint	Tests whether Root B is an overlap-zip story; gives ops a plant cut and marketing a GTM cut
Tenure at disconnect (if available)	New-customer quality vs long-life erosion
Product mix at leave (Internet-only / +mobile / +video)	Tests whether video lock-in actually left, and whether mobile holds

Each line is a number — currently empty. Until those cells are filled, we will not claim a single “churn rate,” will not invent a where-they-lose mix, will not attribute the 54k excess to network quality, and will not recommend more upgrade/rebuild as a Q1 slope closer (already +71%).

Ask the CEO one binary question (cheap, can kill the “stand up tracking” work)

Will you stand up — or do you already have — a quarterly net-loss-by-category tracker for residential Internet on the core: yes or no?

The tracker's unit is quarterly net loss (prefer gross adds vs disconnects). Categories: core vs rural; overlap vs rest (AT&T ~27% / Verizon ~16% terrestrial 100 Mbps+); reason (move-out vs competitive FWA vs competitive fiber vs involuntary/nonpay, sampled from the disconnect — not agent codes); product mix at leave (Internet-only / +mobile / +video); tenure if available.

Yes → send the last eight quarters (or stand it up and send Q1). Churn analysis is a mix-control read, not a data build.

No → that is G1. The next step is to stand up the system and fill the empty cells before we touch capex or rural as a course of action.

Sequence (leverage ÷ cost): (1) the binary CEO question; (2) if no, stand up the system; (3) if yes, run mix control immediately and skip G1 build; (4) only after the first fill do capex-productivity (G2) and rural-take (G3) become decision-sized rather than narrative.

Kill rule (written before a recommendation) If a quarterly net-loss-by-category tracker already exists for residential Internet that cuts core vs rural, overlap vs rest, reason (move-out / competitive / nonpay — sampled, not agent codes), and product mix at leave, do not spend the step building tracking — go to mix control. If that tracker, once in hand, shows move-out as the single largest reason and Charter's <i>competitive</i> loss rate matches Comcast on the core, kill "Charter-specific product failure" as the Q1 story and treat housing + industry FWA as the floor (Root A). The CEO charge then has to be answered with a growth model that does not wait for movers, not with more rural miles. If field + care opex stay down, losses stay up, and the sample does not name speed / WiFi / reliability as the largest reason on the core, kill "network performance caused the doubling."	Unwilling to claim - Gross churn, a churn <i>rate</i>, or any filled category breakdown of where they lose — not disclosed; unused; we will not invent one. - That housing alone explains Charter vs Comcast. Both firms face the mover drought; only Charter's residential Internet net-loss rate doubled into 1.8× the peer. - That rural NPV is zero. We have a low yield and a scale fail, not a full DCF. - That RDOF/BEAD can be walked away from at book value. The 10-K names penalties, forfeitures, and withheld support. - That the 2027 network-evolution date re-rates the stock without an Internet-print change (Root C). - That mobile +368k or video losses "moderating" offset Internet –120k for the tape. - That call-center reason codes are a breakdown. They are not.
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DRAFT playbook — if lost to X, do Y (does not fire until tracker cells are filled)

We **can** propose a response for each leak once the quarterly net-loss-by-category tracker exists. We **will not** fire any of those responses until the cells are filled. This is a dormant map, not a mix we have measured. Company print remains –120k Internet; peer gap remains 1.8× / 54k excess. No cell is the largest. Call-center codes are not the file that turns a branch on.

Material-leak gate. A branch fires only if it is the largest — or a co-equal — cell in the first fill **and** closing Charter's gap vs Comcast in that cell would absorb a material share of the 54k excess. Co-equal: fire the cheaper lever first. Two expensive levers do not fire in the same quarter. Company-wide upgrade/rebuild (already +71%) and more rural miles (remainder 120–170k lifetime vs 179k quarterly peer gap) are not the default answer to any leak.

Sequence: (0) CEO binary — tracker exist? (1) **Reason mix** first (move / FWA / fiber / nonpay, sampled disconnect) — MECE, decides housing vs GTM vs credit vs plant. (2) **WHERE** (core/rural; AT&T ~27% / Verizon ~16% vs rest) targets the lever and can veto a mislabel. (3) **WHO** (mix at leave; tenure if available) sizes the offer. (4) Spend only after 1–3.

If this is the material leak	Do (X → Y, funded by Z, over N)	Kill — wrong play if
Move-out	Same-day transfer-of-service + MDU/landlord capture, targeting occupied-housing events, funded by sales-ops and by stopping retention promo on vacated addresses, 6 months. Not more plant.	Move-out rate matches Comcast and competitive disconnects still produce 1.8× → housing is the floor (Root A); grow without waiting for movers.
Competitive FWA	12-month Internet rate-lock / FWA-match + self-install WiFi, Internet-only / price-sensitive, on <i>and</i> off overlap (FWA is wireless-nationwide). Test 2 quarters. Funded by not adding remainder rural miles (~\$1.9B) or by video promo — not by upgrade/rebuild.	Sample names speed, not price — especially on the 27%/16% plant → FWA was the vehicle, fiber is the competitor. On-overlap FWA may be a fiber stepping-stone: do not FWA-match.
Competitive fiber	Overlap-zip GTM: gig/symmetry save targeting AT&T ~27% / Verizon ~16% zips, Internet-only first, 2–4 quarters. Nodes only in those zips and only if the sample names speed. Funded by redirecting a slice of +\$280M YoY upgrade/rebuild (\$675M vs \$395M) off non-overlap plant. Do not wait for end-2027.	Losses follow footprint (proportional) → overlap is not Root B. Field+care stay down and sample does not name speed → offer, not nodes. Fiber-labeled loss off-overlap is a mislabel.
Involuntary / nonpay	Payment arrangement before disconnect, origination screen on new tenure, 90-day first-bill save, new-tenure Internet-only, 2 quarters. Funded by restoring a slice of the \$30M field+care opex decline. Not from capex.	Nonpay concentrated on rural new-connects (38% take) → origination quality, not a core reprice.
WHERE: core	Fire the reason play on the core. Do not add rural miles. CR identity already says core –204k vs rural +41k — not the Internet tracker.	Core Internet rate already matches Comcast. Remainder 120–170k lifetime cannot close a 179k quarterly peer gap.
WHERE: rural	Raise take on lit plant (38% → 54% = 221k missing on 1.385M), 4–8 quarters. Do not pause RDOF/BEAD. Stop remainder miles if take stays stuck.	Rural CR is already the only disclosed positive CR channel. More rural miles is almost never the response to core competitive loss.

If this is the material leak	Do (X → Y, funded by Z, over N)	Kill — wrong play if
WHERE: overlap vs rest	Overlap material: concentrate the reason play on those zips (fiber GTM or FWA-as-stepping-stone). Rest material: fiber is the wrong play — hand to FWA / move-out / nonpay.	Do not fire on the 10-K 27%/16% footprint shares alone (not a loss split). Union unknown.
WHO: mix / tenure	Internet-only: save on price/WiFi, not video reattach (video \$ -9.4% FY25). +mobile at leave: bundle did not hold; do not scale mobile as the Internet closer (Root C). New tenure: 90-day onboarding; cut CPE +41% if adds are low quality. Long-life: overlay onto FWA or fiber save, not a welcome kit.	Mobile +368k does not offset Internet -120k for the tape. New-tenure rate matching Comcast → tightening origination worsens the gross-add drought. Tenure only if available.

Funding pools (grounded; intensity already 21¢ vs Comcast C&P 11¢): **P1** upgrade/rebuild increment +\$280M — overlap nodes only if fiber + speed-named sample. **P2** rural remainder - \$1.9B avoided — not new rural miles as a core-churn response. **P3** field+care - \$30M — restore if nonpay. **P4** CPE +41% — cut if new-tenure quality. Do not fund from “more plant.”

Playbook kill / unwilling. Do not fire two of {FWA price-match, overlap rebuild, collections restore, mover MDU} in the same quarter. Do not treat call-center codes as the trigger. Unwilling: which X is largest; any filled percentage; that a named response is the Q1 course of action; that the 54k excess sits in any one cell; that more plant, more rural miles, or more mobile closes the Internet print.

Sources: Team Case Brief (stock path); CHTR Ex99.1 Q1 2026 / FY2025 10-K / trending (CORE-INFORMATION); CMCSA Ex99.1 Q1 2026; existing conversion and capex work in Analysis/chtr-rural-core-conversion, Analysis/chtr-cmcsa-capex, Analysis/chtr-network-churn. Working document: Decisions/decisions.md. Playbook companion canvas: chtr-churn-response-playbook. Arithmetic already recomputed in those files and Decision Planning/network_churn_model.py. Draft work-plan. Conditional playbook — not a recommendation that has fired. MAN6930 · Q1 2026 anchor.